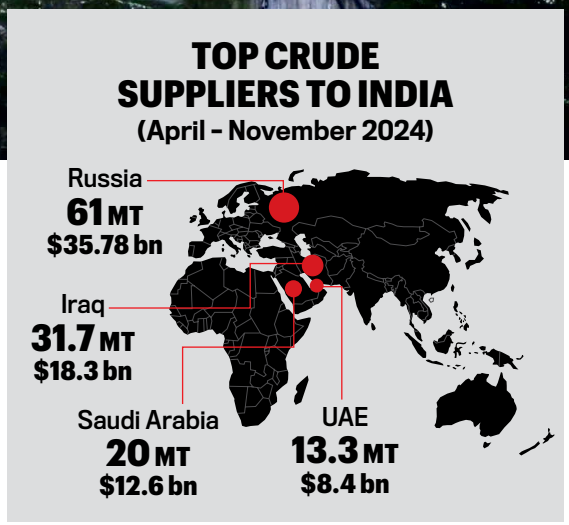


**PAIN POINT**
Bharat Petroleum refinery in Mumbai

GETTY IMAGES




*Source: ICRA*

OIL IMPORTS

# Caught in an Oily Situation

**By M.G. Arun**

The world may be reeling under new US president Donald Trump's 'one-policy-change-a-day' regime, but it's one of his predecessor Joe Biden's parting shots that have shaken up oil markets. It's a new clampdown on Russian oil trade, and taking the worst hit will be the world's biggest oil importers—China and India. India sources cheaper crude from Russia and if supplies are hit, an inflated oil import bill could hurt the margins of its refining companies. That won't be good news for the Modi government, already battling high inflation and slow domestic growth.

On Jan. 10, the outgoing Biden administration announced sanctions, against 183 vessels, mostly oil tankers allegedly part of a "shadow fleet" that it said participates in "high-risk shipping practices to facilitate illicit or sanctionable activity". Also sanctioned were Russian oil companies Gazprom Neft and Surgutneftegas and their subsidiaries, and two Russian maritime insurance providers—Ingosstrakh Insurance Company and Alfastrakhovanie Group, which the UK had previously sanctioned.

**THE US CURBS ON RUSSIAN OIL COULD SEE IRAQ OR SAUDI ARABIA BECOMING OUR LARGEST CRUDE SUPPLIERS**

Media reports quoted commodity freight analytics firm Kpler as saying 102 of these sanctioned 183 tankers transported Russian crude either to India or China or both at least once in 2024. Of the 530 million-plus barrels of Russian crude exported last year, some 300 million went to China; most of the rest came to India. The US move is likely to impact some 1.5 million barrels per day